VRC-UK-2022-0980

15/03/2021

MASTER SUPPLY AGREEMENT

Between Veracier UK and Smithfield Coatings plc

THIS AGREEMENT (the "Agreement") is made and entered into as of 15/03/2021

BETWEEN:

Veracier UK Ltd, a company incorporated under the laws of United Kingdom, with its registered office at Innovation Park, Filton, Bristol BS34 7QN, United Kingdom ("Customer")

AND

Smithfield Coatings plc ("Supplier")

(each a "Party" and together the "Parties")

Section 1 — Scope of Agreement

This Agreement sets forth the terms and conditions under which Smithfield Coatings plc ("Supplier") shall supply to Veracier UK Ltd ("Customer") the products and services described in Schedule 1 (the "Products"), in accordance with the technical specifications provided by Customer.

Section 2 — Term

This Agreement shall commence on the Effective Date and shall continue for an initial period of three (3) years, automatically renewing for successive one (1) year periods unless either Party gives written notice of non-renewal at least six (6) months prior to the end of the then-current term.

Section 3 — Pricing and Payment

The unit prices for the Products are set forth in Schedule 2. All prices are exclusive of applicable taxes and are quoted EXW (Incoterms 2020) Supplier's facility. Payment shall be made by wire transfer within sixty (60) days from the end of the month in which a conforming invoice is received.

Section 4 — Delivery and Acceptance

Supplier shall deliver the Products within the lead times specified in each Purchase Order. Late deliveries exceeding five (5) business days shall be subject to liquidated damages of 0.5% of the relevant Purchase Order value per week of delay, capped at 10% of the total Purchase Order value.

Section 5 — Quality and Compliance

Supplier warrants that all Products shall conform to the technical specifications and shall be free from defects in design, materials, and workmanship. Supplier shall maintain ISO 9001 certification (and AS9100 where applicable) throughout the Term.

Section 6 — Intellectual Property

Each Party retains all rights in its pre-existing intellectual property. Any bespoke developments created by Supplier under this Agreement and funded by Customer shall be the exclusive property of Customer.

Section 7 — Confidentiality

Each Party agrees to treat as confidential all technical, commercial, and financial information disclosed by the other Party under this Agreement. This obligation shall survive for five (5) years following termination.

Section 8 — Liability

Supplier's aggregate liability under this Agreement shall not exceed two (2) times the annual value of Purchase Orders placed by Customer during the preceding twelve (12) months. This limitation shall not apply in cases of gross negligence, wilful misconduct, death or personal injury, or breach of confidentiality obligations.

Section 9 — Termination

Either Party may terminate this Agreement for material breach by giving thirty (30) days' written notice, provided the breach remains uncured at the end of such notice period. Customer may terminate immediately upon written notice in the event of Supplier's insolvency, bankruptcy, or assignment for the benefit of creditors.

Section 10 — Force Majeure

Neither Party shall be liable for any failure or delay in performing its obligations under this Agreement where such failure or delay results from Force Majeure.

"Force Majeure" means acts of God, natural disasters (earthquakes, floods, hurricanes), fire, and acts of war or armed conflict. For the avoidance of doubt, supply chain disruptions, price increases, and component shortages shall not constitute Force Majeure events.

Section 12 — Governing Law

This Agreement shall be governed by and construed in accordance with the laws of England and Wales. Any dispute shall be submitted to the exclusive jurisdiction of the courts of England and Wales.

A review of cross-indemnity provisions among Group entities has been initiated to determine which entity bears the ultimate financial burden of the litigation.

The Customer reserves the right to audit the Supplier's facilities, records, and quality management systems upon fifteen (15) business days' prior written notice, to verify compliance with this Agreement.

Non-destructive testing by fluorescent penetrant inspection (FPI) was carried out in accordance with NAS 410 / EN 4179 Level 2, by a certified NDT operator. No linear indications exceeding 1.5 mm were detected.

The provision has been measured in accordance with IAS 37, based on the best estimate of the expenditure required to settle the obligation at the reporting date, discounted at a risk-free rate of 3.2%.

The management fee charged by the parent company to subsidiaries represents 3% of each subsidiary's consolidated revenue, remunerating general management, strategic planning, legal support, and treasury services.

Each Party shall comply with all applicable laws and regulations, including without limitation anti-bribery legislation (UK Bribery Act 2010, US FCPA), data protection laws (GDPR, UK Data Protection Act 2018), and export control regulations.

The dimensional deviation on port B bore (measured: 25.015 mm against tolerance of 25.000 +0.010/-0.000 mm) has been subject to an engineering concession request (ref. EC-2024-0089).

The matter has been entered in the Group's legal risk register under reference LR-2024-XXX. Oversight has been assigned to the General Counsel.

Environmental conditions during functional testing were within specification: temperature 23 +/- 2 degrees C, relative humidity 45 +/- 10%, hydraulic fluid cleanliness class 6 per NAS 1638.

The matter will be monitored by the Legal Department in coordination with external counsel. A progress update will be presented to the Audit Committee at its next quarterly meeting.

The Country-by-Country Report has been prepared in accordance with OECD BEPS Action 13 guidelines and filed with the relevant tax authority within the statutory deadline.

The supplier audit report identified three (3) major non-conformities relating to forging process control and raw material traceability. A corrective action plan with deadlines has been demanded.

The solution heat treatment and ageing cycle was carried out as prescribed: solution at 940 degrees C for 2 hours, water quench, followed by ageing at 540 degrees C for 8 hours, air cool.

The impairment test of goodwill was performed in accordance with IAS 36, based on discounted cash flow projections using a WACC of 9.5%. No impairment loss was recognised.

The applicable reference documentation for this lot is specification SP-AV3000-Rev.D dated 01/11/2019, together with control plan CP-AV3000-Rev.D and manufacturing routing MR-AV3000-Rev.D.

The Legal Department recommends appointment of a mediator accredited by the Centre for Effective Dispute Resolution (CEDR) to attempt settlement before the commencement of substantive proceedings.

The deferred tax provision has been calculated on temporary differences between IFRS carrying amounts and tax bases, at the applicable tax rate of 25.83% for French entities and 30.175% for the German entity.

The CAPA opened in response to the recurring non-conformity includes the following actions: supplementary supplier audit, enhanced receiving inspection, and qualification of an alternative supplier.

The capital expenditure budget for the current year is EUR 18.5 million, of which EUR 12.3M is allocated to production capacity and EUR 6.2M to R&D activities.

Storage conditions for released parts conform to requirements: temperature 15-25 degrees C, relative humidity below 60%, protection from dust and mechanical shock. Maximum storage duration before dispatch is 90 days.

The German entity's taxable income has been adjusted for permanent differences between IFRS and German tax rules (HGB), particularly regarding depreciation methods and provisions.

The batch record review was completed by the Head of Quality and Airworthiness prior to lot release. All identified non-conformities have been dispositioned and closed.

The Supplier shall maintain ISO 9001 certification (and AS9100 or NADCAP where applicable) throughout the Term. Loss of certification shall constitute a material breach entitling the Customer to suspend Purchase Orders.

This Agreement constitutes the entire agreement between the Parties with respect to its subject matter and supersedes all prior negotiations, representations, and agreements, whether written or oral.

Insurance coverage under the Group's professional indemnity policy has been verified. The applicable deductible is EUR 500,000 per claim, with an aggregate annual limit of EUR 50,000,000.

The Supplier shall procure and maintain throughout the Term professional liability insurance with a minimum cover of five million euros (EUR 5,000,000) per occurrence and in the aggregate per year, and shall provide evidence thereof upon request.

The Supplier warrants that it holds all necessary authorizations, licenses, and permits required for the performance of its obligations. The Supplier shall promptly notify the Customer of any change that may affect its ability to perform.

It is noted that any document filed in the proceedings may be subject to disclosure to the opposing party. Internal documents should be prepared accordingly.

The batch record includes the following records: production traveller, test reports (leak, fatigue, functional, NDT), material certificates, calibration certificates, non-conformity reports where applicable, and EASA Form 1.

Calibration of the hydraulic test bench TB-042 was verified prior to testing. Calibration certificate No. CC-2024-042-012, issued by a UKAS-accredited laboratory, is included in the batch record.

Bristol, le 15/03/2021
Managing Director

James Hartley